SEVENTH DISTRICT COURT
FILED
SEP 30 2010
GRAND COUNTY
By:_____

J. Craig Smith (4143)
jcsmith@smithlawonline.com
R. Christopher Preston (9195)
chris@smithlawonline.com
SMITH HARTVIGSEN, PLLC
Walker Center
175 South Main Street, Suite 300
Salt Lake City, Utah 84111
Tel.: (801) 413-1600
Fax.: (801) 413-1620

Attorneys for Plaintiffs

IN THE SEVENTH JUDICIAL DISTRICT COURT
IN AND FOR GRAND COUNTY STATE OF UTAH

BARBARA A. MORRA; MICHAEL K. SUAREZ; JOHN S. WEISHEIT; HAROLD SHEPHERD; JENNIFER P. SPEERS; TARA COLLINS; WILLIAM LOVE; SARAH M. FIELDS; JOHN C. DOHRENWEND; PAUL JANOS; STEVE MULLIGAN, Plaintiffs, v. GRAND COUNTY, UTAH; and the GRAND COUNTY COUNCIL, Defendants; and CLOUDROCK LAND COMPANY LLC, Defendant-Intervenor.	**REPLY MEMORANDUM IN OPPOSITION TO CLOUDROCK LAND COMPANY LLC'S SUPPLEMENTAL MEMORANDUM AND IN SUPPORT OF PLAINTIFFS' MOTION FOR SUMMARY JUDGMENT** Case No. 070700108 Honorable Lyle R. Anderson

Plaintiffs (collectively "**Citizens**"), respectfully submit their reply memorandum in support of their Motion for Summary Judgment, which was originally filed on January 31, 2008, pursuant to the Order Regarding Record of Proceedings Before Grand County and Briefing

Schedule and Notice of Hearing, entered by this Court on July 6, 2010 ("**Order Regarding Record**").

TABLE OF CONTENTS

TABLE OF CONTENTS ii

TABLE OF AUTHORITIES ii

ARGUMENT 1

I. The Enactment of Ordinance 454 was an Administrative Act. 1

II. The County Acted Illegally When it Enacted Ordinance 454. 4

A. The County Cannot Disregard Mandatory Requirements of the Applicable LUC. 4

B. The County's Violations of the Applicable LUC are Numerous and Substantial. 6

1. Cloudrock's Subdivision Approval had Lapsed and Preliminary Plat Could not be Amended. 6

2. Ordinance 454 was Not Consistent with the 1996 General Plan. 7

3. The County Failed to Strictly Comply with the Requirements for a Zone Change.... 9

CONCLUSION 10

TABLE OF AUTHORITIES

Cases

BRAVE v. Beaver County, 2009 UT 8, 203 P.3d 937 ..... 1, 2

Citizen's Awareness Now v. Marakis, 873 P.2d 1117 (Utah 1994) 2

Citizens for Responsible Trans. v. Draper City, 2008 UT 43, 190 P.3d 1245 4

Culbertson v. Board of County Commissioners, 2008 UT App 22, 177 P.3d 621 6

Friends of Maple Mountain, Inc. v. Mapleton City, 2010 UT 11, 228 P.3d 1238 ..... 1, 2, 4

Hatch v. Boulder Town Council, 2001 UT App 55, 21 P.3d 245 4

Low v. Monticello, 2002 UT 90, 54 P.3d 1153 3

Morra v. Ground County, 2010 UT 21, 230 P.3d 1022 5

Springville Citizens for a Better Community v. City of Springville, 1999 UT 25, 993 P.2d 2524, 5

Statutes

Utah Code Ann. § 17-27a-801(d) 4

Utah Code Ann. § 17-52-502(2) 3

Other Authorities

Applicable LUC Art. III.R.2.b 8

Applicable LUC Art. III.R.3 3

Applicable LUC Art. VI.D.7.b 7

Applicable LUC Art. VI.L.6.c 8

Applicable LUC, Art. VI.B.2.a-.h 10

Applicable LUC, Art. VI.B.5.e 8

ARGUMENT

I. The Enactment of Ordinance 454 was an Administrative Act.

On February 4, 2002, the Grand County Council ("Council") approved development applications for the Johnson's Up-on-Top Development, including land use applications for (1) PUD rezoning, (2) Preliminary Plat, Phase 1 and Preliminary Master Plan, (3) Use-on Review for Wilderness Lodge, and (4) Special Exception for Design Standards. Prior to this approval, the land subject to these applications had been zoned "RG, Range and Grazing." [R. at GC00295.] Over five years later, Cloudrock Land Development, LLC ("Cloudrock"), obtained approval from the Council for "the Johnson's Up-On-Top Preliminary PUD and Master Plan as proposed, and the Amended and Restated Johnson's Up-On-Top Mesa Development Agreement" on May 8, 2007. [R. at GC00603.] The Council's action to approve amendments to land use approvals obtained five years previously constituted an administrative act, nothing more.

Cloudrock's argument that the 2007 action was legislative is the age old "form over substance." Ordinance 454, the form by which the Council selected to document its approval of Cloudrock's application, did not seek a new zoning classification.[1] The land use application submitted by the Cloudrock also did not seek a "PUD Amendment;" it only requested approval of an "Amended Preliminary Plat." [R. at GC00315.] At most, Ordinance 454 is an amendment to an already existing PUD zoning classification. No evidence in the record even suggests that Cloudrock applied for a new zoning classification. Any rezoning of the Johnson's Up-on-Top

[1] This fact alone distinguishes this matter from *Friends of Maple Mountain, Inc. v. Mapleton City*, 2010 UT 11, 228 P.3d 1238, and *BRAVE v. Beaver County*, 2009 UT 8, 203 P.3d 937; both were a zoning change. Both the underlying zone (Range and Grazing) and the existence of a PUD remained unchanged by the amendment. [R. at GC00602-3.]

Development as PUD occurred on February 4, 2002, when the Council passed Resolution #2002-2568. [R. at GC00297.]

Cloudrock argues that Ordinance 454 is per se a legislative act given the Utah Supreme Court's holding in *Friends of Maple Mountain, Inc. v. Mapleton City*, 2010 UT 11, ¶15, 228 P.3d 1238. However, as Citizens pointed out and as Cloudrock has overlooked, "when a municipality acts to adjust an existing zone, [as is the case here,] it more likely acts administratively." *Id.* at ¶17. The adoption of Ordinance 454 did not involve a zone change. It served only to *amend* the preliminary plat and preliminary master plan for the already approved Development. Therefore Ordinance 454 is distinguished from *Friends of Maple Mountain* and cannot be considered *per se* legislative.

Cloudrock secondly relies on the Utah Supreme Court's decision in *BRAVE v. Beaver County*, 2009 UT 8, 203 P.3d 937. Once again its reliance is misplaced. *BRAVE* involved a comprehensive set of actions by Beaver County, including a zone change. *Id.* at ¶3. It also invoked estoppel, which is absent here.[2] "If a county does not label its action either legislative or administrative, then a determination under the test we set forth in *Citizen's Awareness Now v. Marakis*, 873 P.2d 1117 (Utah 1994), would be appropriate." *BRAVE*, 2009 UT 8 at ¶20. Cloudrock asserts that the Council declared "it was 'acting in its legislative capacity' in entering into the agreement."[3] This assertion is inaccurate and misleading. In Ordinance 454, the Council did not say that it was acting in its legislative capacity in entering into an amended development agreement; the Council did not give any label to its action. [R. at GC00603.] In the Amended

[2] Also, both *Friends of Maple Mountain* and *BRAVE* are referenda matters, one more distinguishing factor. *See Friends of Maple Mt.* 2010 UT 11at ¶7 and *BRAVE*, 2009 UT 8 at ¶16.

[3] Cloudrock Land Company LLC's Supplemental Memorandum in Opposition to Plaintiff's Cross Motion for Summary Judgment and in Support of Its Motion for Summary Judgment ("Cloudrock's Brief") at 9.

and Restated Johnson's Up-on-Top Mesa Development Agreement ("Amended Development Agreement"), there is a statement that the Council "acting in its legislative capacity, has made the following determinations with respect to the Project, including all findings of fact and conclusions of law as are necessary to make each of the following determinations." [R. at GC00624.] When such determinations were made is not stated. A plain reading of this language establishes only that the Council acting in its legislative capacity at some previous time had made particular findings allowing it to enter into the Amended Development Agreement. Indeed, identical language and findings are found in the Original Development Agreement, signed in October 2001, showing that the legislative action of the Council in creating a PUD occurred at that time when the PUD zoning was established in 2002. [R. at GC00283.] It says nothing about whether the Council was acting in its administrative or legislative capacity as it approved Ordinance 454 in 2007.

It is true that the Council must approve a PUD District. Applicable LUC Art. III.R.3. [R. at GC00067.] However, the Applicable LUC says nothing about whether the Council acts administratively or legislatively in amending an already existing PUD. According to state law, the Council "is both the county legislative body and the county executive" and exercises both legislative and executive (or administrative) powers. Utah Code Ann. § 17-52-502(2). Because the Council exercises both types of power, the use of an ordinance to approve amendments to an existing, approved development has no bearing on the true nature of its action.

Utah courts have held that "[t]he formal label of a city council's action is not determinative; courts must look to the substance of the city council's action to determine if it is legislative or administrative." *Low v. Monticello*, 2002 UT 90, ¶24, 54 P.3d 1153 (cited with

approval in *Friends of Maple Mt.*, 2010 UT 11 at ¶8. Indeed, the Council chose to approve the original PUD rezoning for the Johnson's Up-on-Top Development by resolution. [R. at GC00294.] It is not the form but rather "what an action accomplishes [that] determines if it is legislative or administrative in nature." *Citizens for Responsible Trans. v. Draper City,* 2008 UT 43, ¶12, 190 P.3d 1245. Substantial evidence in the record establishes only that Ordinance 454 approved an amended preliminary plat and the Amended Development Plan, nothing more. [GC00603.] Such action is administrative in nature and was therefore properly appealed to the Grand County Board of Adjustment ("Board") and should now be remanded to the Board for further action.

II. The County Acted Illegally When it Enacted Ordinance 454.

If, *arguendo*, this Court holds that Ordinance 454 was legislative, the action was void because it was illegal. Unlike the arbitrary and capricious standard for legislative enactments that yield substantial deference to the legislative body, illegality is reviewed by this Court under a correctness standard.[4] The Council illegally approved Ordinance 454 and failed to strictly comply with the Applicable LUC. Accordingly, Ordinance 454 is invalid. *See Hatch v. Boulder Town Council*, 2001 UT App 55, ¶7, 21 P.3d 245.

A. The County Cannot Disregard Mandatory Requirements of the Applicable LUC.

Cloudrock tries to evade this straightforward question of legality by once again trotting out *Springville Citizens for a Better Community v. City of Springville*, 1999 UT 25, ¶30, 993 P.2d 252. This same argument was made, unsuccessfully, to the Utah Supreme Court which

[4] The question that must be considered is whether the Council acted illegally. The Utah Land Use, Development, and Management Act specifies that a county's decision is illegal when "the decision, ordinance, or regulation violates a law, statute, or ordinance in effect at the time the decision was made or the ordinance or regulation adopted." Utah Code Ann. § 17-27a-801(d).

found that Citizens had standing without referring to *Springville Citizens*. *See Morra v. Ground County*, 2010 UT 21, ¶22, 230 P.3d 1022. The Supreme Court also noted the specific and serious injuries alleged by Citizens. *See id.* at ¶¶17 and 22.[5]

Despite the Utah Supreme Court's determination of standing and alleged injury by Citizens, Cloudrock ignores the holding in *Hatch* and relies on dicta in *Springville Citizens* that parties challenging a land use decision should "establish that they were *prejudiced* by the [County]'s noncompliance with its ordinances or, in other words, how, if at all, the [County]'s decision would have been different and what relief, if any, they are entitled to as a result." *Springville Citizens*, 1999 UT 25 at ¶31 (emphasis added).[6] Substantial evidence in the record shows, and the Utah Supreme Court recognized that that Citizens were adversely affected and thus prejudiced by the Council's actions and that the outcome would have been different had the Council followed its own ordinances because it could not have adopted Ordinance 454.

The County is "not entitled to disregard its mandatory ordinances" and is "bound by the terms and standards of applicable zoning ordinances." *Springville Citizens*, 1999 UT 25 at ¶30. The stated policy of the County was to reject incomplete applications. [R. at GC00315.] Had the Council had followed the Applicable LUC and its express policy regarding land use applications, Ordinance 454 could not have been approved. Rather, the Council would have

---

[5] Citizens have alleged that the amended development will result in dangerous increases of pollution in the water delivered to their property--water they drink and use to cook and clean. *Id.* at ¶22.

[6] This standard enunciated in *Springville Citizens* seems better suited to resolve questions of standing. While it is not entirely clear what this brief statement of dicta in the *Springville Citizens* opinion means, the most likely interpretation is that technical deficiencies in the local governmental land use process alone are not sufficient to overturn a land use decision – they must also suggest that a different result could have been obtained. Cloudrock argues that Citizens must show a substantial likelihood that the Council would not have enacted Ordinance 454. Cloudrock's Brief at 11. The *Springville Citizens* decision does not support such a requirement. *See Springville Citizens*, 1999 UT 25 at ¶ 31.

required Cloudrock to complete and file the appropriate land use applications.

Finally, the Council is a public body and has a duty to the citizens of the County to adhere to the law for the benefit of the public good. Accordingly, an action to curb a county's "*willful disregard* of its own ordinances and procedures" "serves the important public policy of 'ensur[ing] that [the] County was governed by rule of law, not of man.'" *Culbertson v. Board of County Commissioners*, 2008 UT App 22, ¶¶12 and 13, 177 P.3d 621. Though this statement arose in another context, it demonstrates not only the established public policy that counties be held responsible to follow their own ordinances and procedures, but also that the Council's failure to strictly follow the Applicable LUC in adopting Ordinance 454 was against public policy and prejudiced Citizens.

B. The County's Violations of the Applicable LUC are Numerous and Substantial.

The approval of Ordinance 454 was illegal for a number of reasons. Each illegality is independently sufficient to void the County's action.

1. Cloudrock's Subdivision Approval had Lapsed and Preliminary Plat Could not be Amended.

It is undisputed that the ***only*** land use application before the Council in 2007 was Cloudrock's application for an Amended Preliminary Plat. [R at GC00315.] However, the subdivision approved in 2002 had lapsed and the preliminary plat could not be amended.[7]

The Original Development Agreement required the parties (both Cloudrock and the County) to "comply with the standards and procedures contemplated by the Code and the General Plan . . . with respect to all required development approvals of the uses, densities, and

[7] Of course, Cloudrock could go back and follow the proper steps to seek a new subdivision approval, but it has chosen not to do so.

general configuration of the Project." [R. at GC00286.] As Cloudrock must acknowledge, the Original Development Agreement required continued compliance with the procedural requirements of the Applicable LUC, including the time periods for approvals and requirements to seek and obtain extensions.

Given the standards and procedures in the Applicable LUC, the preliminary plat approved in 2002 had expired and could not simply be amended. According to the Applicable LUC, the Grand County Planning Commission's "preliminary approval of [a] ***subdivision*** shall be deemed voided unless a final plat is submitted within the 12 month period or unless the 12 month period is extended by the Planning Commission at the request of the subdivider." Applicable LUC Art. VI.D.7.b (emphasis added). [R. at GC00110.] This same standard applies for multi-phase subdivisions "unless at least one (1) phase of the subdivision is submitted whitn 12 months following approval of the previous ***final*** plat for the subdivision." *See id.* (emphasis added). It is undisputed that a final plat has never been submitted by Cloudrock and that that neither the Planning Commission nor the Council extended approval of the preliminary plat prior to Cloudrock's application in 2006. Thus, the Council could not approve an amendment to a void preliminary plat; the subdivision approval lapsed; and Cloudrock must start the subdivision process anew.[8]

2. Ordinance 454 was Not Consistent with the 1996 General Plan.

According to the Original Development Agreement, "the County and the Developer agree that each shall comply with the standards and procedures contemplated by the Code and

[8] Cloudrock attempts to minimize the impact of the lapsing of its preliminary plat by arguing that it only needs to submit a new preliminary plat. This is incorrect; its 2002 subdivision approval lapsed and is void. *See* Applicable LUC Art. VI.D.7.b. [R. at GC00110.] Whatever rights Cloudrock may have pursuant to its development agreement in a new subdivision process is separate issue for another day.

the General Plan." [R. at GC00286.] According to the Applicable LUC, the Council must find that a PUD is "consistent with the Grand County General Plan." Applicable LUC Art. III.R.2.b. [R. at GC00067.] Citizens do not assert that there is a requirement for compliance with the 1996 Public Facilities Analysis,[9] but Cloudrock's Johnson-Up-on-Top Development must be consistent with the General Plan, which refers to the 1996 Public Facilities Analysis.[10] [R. at GC00858.] Further, if the Council was indeed acting to rezone the PUD as now argued by Cloudrock, then the Council was required to consider whether there was adequate public facilities and services for the development. *See* Applicable LUC, Art. VI.B.5.e and Art. VI.L.6.c. [R. at GC00105 and GC00126.]

In order to conduct this inquiry, the Council must have compared the proposed development to the Public Facilities Analysis referenced in the General Plan. However, no evidence has been presented to show that the Council even considered the 1996 Public Facilities Analysis. The Public Facilities Analysis in 1996 did not contemplate infrastructure for Cloudrock's Johnson's Up-On-Top Development. *See* Cloudrock's Brief at 15. That, of course, is precisely why the County's consulting planner for the 1996 General Plan stated that the County could not approve any amendment to Cloudrock's Development until the 1996 Public Facilities Analysis was updated. [GC00258-042, Exh. 16.]

In addition, the 1996 General Plan contained a checklist to be followed by the County in

---

[9] Given the County's refusal to include the 1996 Public Facilities Analysis in the record, Citizens have now filed a formal motion to supplement the record.

[10] The express purpose of the Public Facilities Analysis was to provide Grand County and other local governmental entities "with the information needed to ensure that land use and public investment decisions are based on an accurate assessment of the current availability of, and future demand for, public facilities and services." (Public Facilities Analysis at p. i, attached as Tab A to Citizens' Supplemental Memorandum in Support of Plaintiffs' Motion for Summary Judgment.)

reviewing a land use application. [GC00864-8868, Exh. 82.] Cloudrock argues that the General Plan does not prohibit its development, but it provides no evidence to demonstrate that these checklist items were considered by the Council when it approved Ordinance 454. The Council's failure to consider the checklist of items in the General Plan to determine whether approval of Ordinance 454 would be consistent with the General Plan, including the 1996 Public Facilities Analysis, renders the Ordinance 454 illegal and void.

3. The County Failed to Strictly Comply with the Requirements for a Zone Change.

Essentially, Cloudrock argues that its 2006 land use application sought to do more than merely amend the County's 2002 approvals of the Johnson's Up-on-Top Development; it sought to completely replace the 2002 approvals with a new PUD and thereby changed the zone. If this Court finds that Ordinance 454 was a legislative PUD rezoning as urged by Cloudrock, and not an administrative amendment, then ***all*** of the requirements in the Applicable LUC governing PUD applications should have been followed by the Council.

Assuming, *arguendo*, that Cloudrock's Application constituted a PUD rezone, the public notices for Ordinance 454 were fatally deficient as they all failed to identify a zone change had been applied for. [R. at GC00325, GC00357.] The published agenda for the February 6 2007 public hearing only gave notice "for an Amended Preliminary Plat Phase 1 for Johnson's Up-on-Top Mesa Amended PUD." [R. at GC00374.] The County did not provide the public notice of any rezone of the Johnson's Up-on-Top Mesa Development. It did not give notice even of an amendment to the already approved PUD. Rather, it only gave notice of an Amended Preliminary Plat Phase 1.

Further, Cloudrock's Application was incomplete because it was unaccompanied by a

title report, a treasurer's report regarding the status of taxes, a certified boundary survey, a list of adjacent owners, or a statement of the applicant, all required for a zone change application under the Applicable LUC.[11] *See* Applicable LUC, Art. VI.B.2.a-.h. [R. at GC00102-103.] In response to Citizens pointing out that the 2006 land use application was incomplete, Cloudrock refers this Court to a Sketch Plan submitted to the Planning Commission in November 2000. [R. at GC00775 and GC00143.] However, Cloudrock cannot point to any evidence in the record that the necessary documents were submitted with its application in 2006. The 2000 Sketch Plan was submitted in support of the land use applications approved by the Council (by resolution) in February 2002. [R. at GC00294-297.] Such documents were six years out of date when Cloudrock submitted its application for an Amended Preliminary Plat in November 2006. [R. at GC00315.] Thus, Cloudrock has not identified any evidence to show that its 2006 application was complete.

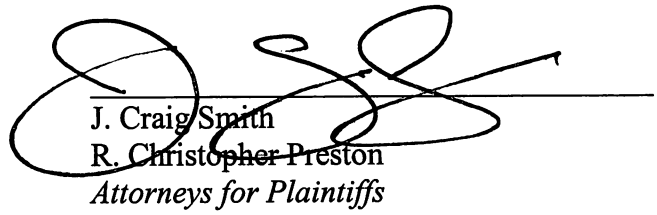
CONCLUSION

In failing to adhere to its own land use code, the Council put the interests of a developer ahead of the general welfare of the County and failed to address major issues related to the development that could adversely affect the health, welfare, livelihood and/or property values of Citizens and others. Therefore, Citizens respectfully request this Court to grant its Motion for Summary Judgment and either remand the consideration of Ordinance 454 to the Grand County Board of Adjustment or find the approval of Ordinance 454 to be illegal and void.

[11] Citizens notified the Council that its actions failed to comply with its own ordinances, particularly the procedure of Article VI.B in the Applicable LUC governing zoning map and text amendments. [R. at GC00573-584.]

RESPECTFULLY SUBMITTED this 24th day of September, 2010.

SMITH HARTVIGSEN, PLLC



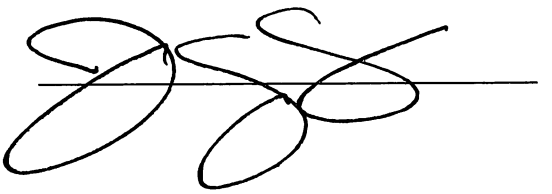
J. Craig Smith
R. Christopher Preston
Attorneys for Plaintiffs

CERTIFICATE OF SERVICE

I hereby certify that on the 24th day of September, 2010, I caused to be mailed via U.S. mail, first-class postage pre-paid, a true and correct copy of the foregoing to the following:

Michael D. Zimmerman
Wade R. Budge
Troy Booher
SNELL & WILMER L.L.P.
15 West South Temple, Suite 1200
Gateway Tower West
Salt Lake City, Utah 84101-1004
Attorneys for Cloudrock

Todd Karl Jenson
GREAT WEST LEGAL, PLLC
PO Box 1182
Salt Lake City, Utah 84110

Happy J. Morgan
Grand County Attorney
125 E. Center Street
Moab, Utah 84532

Attorneys for Grand County, Utah and the Grand County Council